SI414: The Hidden Risks Beneath the Treasury Market ft. Mark Rzepczynski

Podcast: Top Traders Unplugged

AI Executive Summary

1. Core Thesis The episode argues that market success relies on preparation for unpredictability rather than prediction, emphasizing a need to recognize underlying structural stressors even when volatility appears low. The hosts discuss "rumblings" in the equity and fixed income markets—including Jane Street's concentrated losses, Yen intervention, and US Treasury liquidity issues—that suggest a buildup of risk leading toward potential normalization or reversals. Furthermore, they advocate for an empirical, data-driven approach to trend following, utilizing diversified style classifications (European/American styles) and deep understanding of market plumbing (liquidity dynamics), while paying tribute to Victor Niederhoffer’s foundational work on statistical rigor and anomaly research.

2. Key Arguments & Data

3. **Market Rumblings & Risk:** Current volatility is low (VIX/VVIX), but uncertainty is high due to VUCA factors. Concentrated bets pose significant risks; Jane Street lost $15 billion in its Situational Awareness fund in a single month, suggesting concentration risk even within multi-strat firms.
4. **Commodity Volatility:** The copper squeeze spread has reached the largest weekly flow to LME since 2020. Extremely low inventory levels ("buffer stock") can lead to extreme backwardation and price shocks (similar to the oil market and cocoa crisis).
5. **Treasury Market & Liquidity:** The Treasury announced a buyback program increasing from $2 billion to $4 billion per month to buy back "off-the-run" bonds, highlighting a "plumbing problem" where off-the-run liquidity is insufficient. Leveraged hedge funds are acting as "vigilantes," financing trades via the repo market, which creates systemic risk if financing dries up.
6. **Performance Metrics:** As of August 18th/19th: BTOP 50 (+1.78% Mtd, +9.87% YTD); Stock Gen CTA Index (+1.47% Mtd, +9.7%

YTD); S&P Total Return (+2.97% Mtd, +12.6% YTD). The trend barometer has cooled to a neutral level of 43.

7. **Trend Following Styles (Sepp's Paper):** Three classifications: Academic (Time Series Momentum), European (Pragmatists/Dynamic Adjustment), and American (Breakout/Digital Positioning). All styles perform well during high-trend periods but have nuances in positioning that affect risk management.
8. **Short-Term Trend Following:** Research indicates short-term trend following works best in markets with larger tick sizes/high volatility, as tight tick sizes allow market makers to offset gains via high-frequency order flow.

9. **Victor Niederhoffer Tribute:** A foundational figure in empirical quant trading; known for the "Overreaction Anomaly," stock price clustering ("round number effect"), and mean reversion research. Philosophy: "If you cannot count it, you do not know it."

10. Actionable Takeaways

11. **Monitor Market Plumbing:** Watch for signs of leverage stress, inventory drawdowns in commodities (copper, oil), and liquidity gaps in bond markets (primary dealer capacity). If institutions lose trust in the safety of Treasuries due to liquidity mechanics, risk increases significantly.
12. **Diversify Strategies:** Do not rely on a single trend following style or manager. Utilize "potification" where one firm runs different trend models internally to aggregate signals and benefit from fee netting and transaction cost management.
13. **Prepare for Normalization:** Acknowledge the difference between speculative bubbles (favorable for buyers, dangerous for reversals) and leverage risks; be ready for market corrections in sectors with significant moves (e.g., AI stocks).
14. **Adopt Empirical Rigor:** Prioritize statistical back-testing and empirical data over intuition or unverified advice. Use rigorous testing to validate trading ideas and admit when processes are flawed.

Full Transcript

Welcome to Top Traders Unplugged. In markets, success doesn't come from predicting what happens next. It comes from being prepared for what you can't predict. In each episode, we go deep with some of the world's most thoughtful minds in investing, economics, and beyond to understand how they think, how they prepare, and how they decide, and the experiences that shaped how they see the world. No noise, no shortcuts, just real conversations to help you think better and invest with confidence. I don't know where it's gone. So we're already here in mid-August. And before you know it, we're going to be in the fall foliage season. So it escaped me. Summer escaped me. Summer escaped you. Yeah. And it has been a busy one for sure. We've got lots of great topics. Thanks to you. So I'm very excited to dig into those. We've got a few other things lined up as well.

I'm also very curious, as always, just to get a feel for what's been coming across your desk on your radar that you might have found interesting in the last few weeks. Well, I'll go back to a summer analogy. Oftentimes, especially if you're in the Midwest, you'll have Thunderstorms roll in. So before the rain, before the winds start coming, you might hear some rumblings in the background. It'll be thunder, you know, off in the distance. And then, and you know, the storm is coming, but it's not there yet. And I probably would sort of say since the last time we talked, I'm seeing a lot of rumblings that are starting to bother me, and we'll sort of say, let's look at the rumblings of situation awareness. Now, it's not really related to trend following your futures trading, but someone loses a 67% in a single month. Well, we find out once again that leverage hurts or leverage kills.

we had the Korean stock market bubble at the end of the other month, which was just a horrific decline in Korean stocks. But this is after a huge move up. This was clearly a bubble. We've had stock issuance that people are now sort of moving to increase stock issuance. And we're seeing some of those new issues sort of have big reversals. And usually it's a sign of an overvalued market when there's more stock issuance. And finally, we had the yen in their intervention, both from the Ministry of Finance in Japan, but then the Fed actually joined in, which seeing intervention tells you that

someone doesn't like the way the direction of the markets and they're trying to stop that from happening.

Intervention usually doesn't work in the foreign exchange markets, but that hasn't stopped the governments to say, like, we've got to arrest what is going on in the yen market and the currency markets. And all of these are rumblings that suggest that things are not as, see, they may not be as nice or as good as what we think they may be. And I completely agree and actually there's been one more rumbling which we'll talk about in a second and that's in the treasury markets in the last 48 hours or so so I'll definitely be some interesting conversations on that but I tend to agree with you. That sometimes we need to even though we don't try to predict the future we you know on a personal level you kind of take a note of some of these some of these things I.

Regarding the situational awareness fund, I also thought the headline about the loss happening at Jane Street. Now, I don't know much about the firm other than it's highly profitable, highly successful as far as I can tell. But the headline suggests that it lost 15 billion alone in the situational awareness fund. Again, with very limited information about these things, I would just say that my first reaction was, Hmm, that's kind of a concentrated bet to be losing that much money and to put it in context I thought the I think the article I read said but it still made 40 billion or it made 40 billion and then lost 15 so not a big deal but 15 out of 40 is a big deal if it's happening on one bed and I'm and I wonder and this is purely regulation on my part. I wonder if, in fact, in some of these firms that are somewhat secretive and have certainly attracted a lot of attention, not least from investors, is there more concentration going on in what we see? Because we hear about it being a multistrat and pot shops with hundreds of teams and pots.

But still, you could still end up with a concentrated bet, even though so far they've seemed to have very good risk management. So that was just one thing I took away from that situation, so to speak. But then the other thing, yesterday, Moderna went up 177% in a day. I mean, it's not a small stock. And although I'm sure many people made lots of money from it because it went up. You still wonder a little bit well what about those who shorted the stock I mean if they were in some kind of long short equity strategy or just I

mean frankly if you were a trend follower having trading individual stocks. Potentially it could have been you know in a downtrend and suddenly goes up by a hundred and seventy seven percent. What does that tell you from a risk management perspective is it actually.

more dangerous than we might think trading individual equities and I think now more recently we've had. Single stock equities come out as futures so that might be even more people from our industry attracted to that area but nevertheless it's rare we see a few for example in normal futures markets move by a hundred and seventy seven percent in a day. Any any thoughts here. No, there's no question that the individual stock volatility can be much greater than what you see in most futures markets. Now, when we look at the index level, the futures markets can be much more volatile. And I think a perfect example would be some of the grains markets that have had a big move this week. You've seen other markets that have seen 20% move, 30% moves across a month. It's not that unusual, but that individual stock movement has been significant for a number of stocks. If you look at the AI areas or micron technologies, which has gone from in April, it was like inside 400 and then it went up to 1200. We're seeing some huge moves in the stock markets and going off with our...

thunderstorm analogy is that these are all rumblings that tell us something's going on. It could be excessive speculation, which is good for the person who is the buyer. But you say that what happens when the markets start to normalize, you're going to get a reversal in some of these big moves places. And that's going to start to harm people. And the market maker you just discussed, It's just a perfect example. You had situational awareness, but then a market maker is losing 15 billion in a month. Now, what we find is that the market makers that we have that have been very profitable are very different than the market makers of old because they might be taking speculative positions. They're taking hundreds of different positions because they're looking at the correlation across a large number of stocks.

They're making significant hedging type bets. And if the market starts to arrest and the correlations that we thought existed in the past don't exist currently, that could lead to a lot of profit losses. Yeah. No, no, absolutely. All important things. The other thing I noticed this morning, I think it was

was just a little story where it says copper squeeze draws biggest weekly flow to LME shed since 2020. And as far as I could tell, I didn't have much time to look into it. But as far as I could tell, it's not actually the copper price itself. It's this kind of the spread from spot to three months out or something like that. Or maybe, yeah, again, just bear with me a little bit on this. But anyway, that spread seems to have gone completely.

crazy in recent days and weeks, although it came back dramatically in the last 24 hours or so, but still at very elevated levels. Is that a story that you noticed or followed? Well, I'm glad you brought that up because one of the issues for when there becomes large moves in commodity markets is when you will say to say the inventory levels become very low. When inventory goes very low, then there's a decrease in what we call the buffer stock. The buffer stock is there to sort of, you know, stop from extreme moves because you could always take something out of a warehouse and make payment. But especially for commodities and there's a production, there's a production process. This is it.

Well, what happens if let's say that there's no available stock in inventory and you need to keep your production line going? This is that then at some point you're going to pay almost any price for that commodity to keep production moving that applies to and we could talk about the oil market is this is it We've had some extreme moves in the oil market because of the Iran war. But we're really going to have a problem if, let's say, the buffer stock or inventory levels get so low so that people will start to pay any price for that. we saw that in the cocoa market a couple of years ago is that there's just not enough inventory. If you don't have enough metals in warehouses around the world, well, what happens then? This is that if you need copper and there's no copper in a warehouse that you could pull from, where are you going to get it? And so this is when we truly get extreme moves. This is when we get extreme backwardation.

when there's a reduction in inventory in buffer stock. And so when people say, I just need to look at the price trend, well, let me put this way, looking at inventory levels is critical to understand whether there's going to be a change from contango or to backwardation, or if there's more whippiness in the front end of a lot of these commodity curves. Yeah. And actually on that

oil you brought up, One of our recent guests who's been on a few times and definitely is a listener favorite on commodities is Adam Rosenzweig and and he really kind of. Questions the whole thing about the oil situation and and and what what the missing and his in his view I think like a billion barrels of oil physical oil. What that might lead to and I think he's very worried about that that could exactly play out as you mentioned.

Into much much higher oil prices at some stage, but it's a question of when is that some stage? So so we may we may see more example of this. Yeah, sooner than I think the oil market is a perfect example because when you think in terms of the geopolitics, okay, we can look at the We'll say that there's the immediate geopolitics. You read news about the Middle East or you read news about what's going on in Ukraine. But the more interesting stories is some floating around underneath that. And when you look at this inventory buffer stock is that the demand for oil by China was significantly reduced. So basically they started a pull from their inventory reserves.

to stop the oil prices from going, we'll call it exponential. And an attempt to do that there, say like, well, we can be able to stabilize the oil prices because if, let's say that we have a huge spike in oil prices, that's going to have an impact on economic growth around the world. And that's going to stop our trade surplus engine. So they said, we're going to cut back and use our buffer stock. We're going to use our inventory to sort of smooth out a little bit of the oil price shock. Now, at some point as you draw down your inventories, and this is also in the U.S. if we have our oil reserves, this is that then You don't have any more buffer stock. Then what? Then you have the real big blow off price in oil or in the underlying refined products. And that's what we should be really worried about. Yeah, no, absolutely. Okay, good stuff. Let's move on to a quick trend following update. We are now just about 10 days away from month end and so far August has been okay.

It looked a little bit better a couple of days ago. We've had a couple of days of, I would say, corrections in the trend space, but still positive for the month, for the most part, I would imagine. My own trend barometer has cooled off a little bit in recent days. We're down to kind of a neutral level of 43. Again, that just means that in terms of the breadth at the moment in the portfolio that that attracts, you know, there's about what to expect in terms

of number of markets that are trending, not too few, not too many, so to speak. I'd love to hear your thoughts maybe if there's anything that has stood out to you from the trend space over the summer since we since we last spoke, but on that I'll after that just update on the on the performance where we stand.

Well, Niels, you know that I'm a VUCA guy, so I always got to put everything in terms of a context. And the thing that's interesting that we have is that, you know, we started out talking about rumblings, but we looked at volatility, you know, in terms of the VIX index or VVIX index is relatively low. So for all of the things we're talking about are all these rumblings, volatility has been relatively low, uncertainty has come off its high from the Ukraine war. I think that when you look at, you know, focus in on complexity and ambiguity as the next parts of VUCA, this is that there's some complexities going on that is going to lead to trends. This is that Let's look at the yen carry trade, which being unwind, is that the intervention is supposed to stabilize the market. But what tells us is that there's a macro imbalance in the currency markets currently that has not been fully played out. Similarly, we're seeing a lot of fear concerning the bond markets. Again, this is that Since we don't really know where Fed policy is going, given that we know that there's some treasury finance moves that are going on, there's a lot of ambiguity. Ambiguity means that people are going to be cautious, that they're going to have to adjust their expectations, and that's going to lead to trends. I think that there's a lot of opportunity for trends going forward in the fall, given the fact that we started out with these, you'll call it...

Thunder warnings. That's fair. That's fair. That may definitely be the case. We'll certainly see as we go through the autumn of this year. But on that from my vantage point, I think generally speaking, the last week or so has been fairly quiet, as I mentioned, a few good days. And then the last couple of days, it's been correcting somewhat, especially from some of the action we've seen. in the fixed income area. We'll get to that in a second. Anyways, as of Tuesday this week, which is the 18th, we have the BTOP 50, up 1.78% for the month of August, up 9.87% for the year. Stock Gen CTA index up 1.47% for the month, up 9.7% for the year. The trend index up 1.69% for the month, up 9.73% for the year.

and the short-term traders index, having a good month up 1.37 for the month of August up 4.6 for the year. If we look at the traditional world also doing well, MSCI World up 2.63 as of last night, so the 19th and up 12.3% so far this year. If we strip out US and Canada, so we look at the MSCI EVE, I think it's pronounced. Up 1.45% for the month and up 11.39% for the year. U.S. aggregate bonds up strong 72 basis points given the intervention we're seeing or whatever we call it in the Treasury market and up 0.39% only for the year and then the total return S&P 500 total return up 2.97% as of last night up 12.6% so far this year.

But as I alluded to Mark and there is one other rumbling that we're seeing taking shape at the moment and it is happening in I don't know if this is the biggest market of all but it's probably one of the biggest markets and that's the US bond market It's not that I've spent too much time reading up on the details of what's been announced But clearly

We are now seeing some form of, well, maybe intervention is not quite the right word, but it's certainly some action from the authorities in the US in terms of what they would like to see happening, especially to the long end of the US Treasury curve. I know you can explain this much better than I can. So why don't I just hand it over to you and we'll see why we go with this. Well, I think let's start with the US Treasury head. He has said that he's the number one salesman for US bonds around the world. So his job is to make sure that there are buyers for US Treasuries because we're seeing now is that On a weekly basis, especially during refunding, is that we could be auctioning off close to 800 billion in a given week, which is an astounding number. Now, some of that is refinancing, so that's rolling over of existing bonds. But that's a huge number that has to be auctioned, so that you say like, I have to ensure that the borrowers are going to be able to find their money.

and then be able and there was going to be lenders who are willing to commit to ensure that these auctions go well. One of the big problems comes in is that the market for treasuries has actually, I don't want to say gotten too big, but there's a tremendous number of outstanding issues in the bond market. What that means is that we'll issue 30-year bonds on a quarterly basis, 10-year on a basis. And then as interest rates move, then the

next auction will have a new coupon. It'll be a new bond. And we call that the on-run bond issue. And then the old bond will become off the run. And so what happens is that we have a lot of these different we'll call it orphan bonds that are away from the benchmark on the run issue. So if you issue a 30-year bond, you might have a number of bonds with different coupons that are have a 26-year maturity, a 27-year maturity, a 22-year maturity. Now, what we find is, is that there starts to become a difference in yield between that 30-year bond and the 28-year bond.

Now, two years difference in maturity or duration is not that much. But what happens is that if you're holding that old bond, you're going to have to, you're going to get a different price than if you're trading the on the run. And so everybody wants to get rid of those off the runs and get it on the run. And so there's less liquidity that's associated with the off the run bond market. Okay. So what the Treasury announced is that they announced a buyback program. And the buyback program, and this has been done in the past. So we'll go back to the first buyback program was in 2000, 2002. And at that particular time, if you could believe it, is that the U.S. government was running a surplus.

in the government account. So there was a talk and there was research that was done and say, well, what happens if we run out of long-term bonds because we just don't have enough of them. So yeah, I remember that. Now let me put it this way. It seems like that's ancient history. 25 years ago. But an attempt to do that is that they said, like, let's start a buyback program to try to ensure that we have liquidity for more of this on the run issue or to increase liquidity for off the run. Programs were stopped when rates were fairly stable, then they started up again. Now they've been increased from about 2 billion to about 4 billion a month.

Now, the process of doing this is that the rumblings, which we talked about, this is that the Treasury Secretary is basically signaling to the market that we have a liquidity problem with an off-the-run issues so that we want to use some of our financing ability to be able to buy back these off-the-run issues and then reissue the on-the-run. So there isn't going to be a change in the amount of debt It's just going to be a change in the composition of the debt. So in that sense It's going to add liquidity. It's going to provide

stabilization if probably, you know a good thing but it really tells us this is that that there's now becoming more of a There isn't enough market-making power to be able to ensure that these off the run bonds have enough liquidity. And that's where the real problem is. That leads us to a bigger issue about the Treasury market in general, and we'll call it the plumbing problem. But I'll stop there for a second. Before we go to that, now, if I understand you correctly, and as I said, I have not had time to look into all the articles and all the news flow and so on and so forth.

If I understand you correctly, it's not about issuing or it's not about buying back long in bonds per se. It's about buying back some and then issue some others right. But the timing of it, kind of the day after the treasury long bond hits 5.34%, which is like the highest we've seen in God knows how long seems a little bit suspicious in the sense that you could you could you could I think rightfully get the wrong impression maybe that oh this seems yield curve control kind of thing we don't really like long bonds to be yielding too much and I think we hit that the the pain point of of the treasury I mean is that Is there anything in that all? Well, let me put this for you. Nothing is as what it seems to be when you deal with governments. This is that if the government tells you not to worry, that's the time to start to worry. So we'll use that as a basic premise. Now, I don't want to say that I'm a conspiracy theorist, but generally with this mock.

But generally you sort of say there should be some concern as is that is there something else going on now? The important part to say that this is from the Treasury, this is not from the Fed. So the Fed has done, you know, operation, you know, there have been operations where they say like, well, I'm going to not buy as many when they're doing QE. I'm going to switch from you know, bonds to bills, you know, what I purchased is going to change in an attempt to try to sort of stabilize the yield curve based on my behavior for my balance sheet. So that's really not what's going on here. It's not like the Treasury is also saying is that I'm going to try to change my average maturity of the debt. So we'll sort of say during the Yellen period, there was a tremendous amount of focus on issuing more Treasury bills as opposed to bonds. So even though he had very low interest rates, Yellen was Treasury Secretary said, let's try to issue more you know bills because that's there's more demand for short-term instruments but you know they

sort of say we don't want to sort of push long-term interest rates up so we're going to change the financing needs so it brought down the average maturity of the overall treasury holdings so we'll say you say there's different actions to take that's not what this buyback program is but you could sort of say that Okay, if I'm going to buy back 27-year bonds, or if I'm going to buy 14-year bonds to reduce that supply, well, then the question comes in, I'm swapping these out for some other bonds. What am I going to swap out for? Is it going to be just for the 30-year, or am I going to now issue bills as an alternative to take off all of the pressure on the long end. So this is the start of something. The size that they're talking about is a sort of a drop in the bucket. But all of a sudden this is that it's sort of say that if off-run treasuries start to get prices that are out of line with what we think the curve should look like, well, then the treasury could step in and be able to buy those cheap bonds that they think is cheap in an effort as part of this buyback program. So they're actually acting as bond market stabilizers, albeit it's a very small program. Yeah. I mean, from time to time, we hear the description of the bond vigilante, so to speak. Not that they've been super active as far as I can tell.

in recent times even though we you know you might think that at some point soon it'll be warranted given the the dead levels and so on and so forth but nowadays i mean a lot of things have changed i mean i started out as a bond trader you know about 40 years ago and a lot of things have actually changed since then in your mind who who so so there's a big difference between who controls the short end and who controls the long end Who do you think ultimately has control of the long end of the bond market and actually. This is also where obviously we as trend follows we don't mind if we have a long term trend in the short end where we can see the path of interest rates going higher or lower for a while consistently that could be a great trade for a trend follower but of course once you get out in the long end that could be some real.

massive moves from a price perspective if interest rates really do change. But who do you think nowadays control this, that treasury bond market? Well, I'd sort of say that there's been a lot of research on what we're called treasury plumbing. How does the treasury market operate? And it's always been somewhat opaque. And there's always been the view that, well,

whatever it's doing, it seems to be working fine. And that we've got a good process in that everyone will argue treasuries are the safest asset in the world. And the reason why they're safe is because they have a tremendous amount of liquidity. Don't worry about it. And in reality, we'll sort of say that the Fed is concerned about it, a Treasury is concerned about it, and the market should be concerned about it. And every trader or investor should be also be concerned about it. And let's start with some of the mechanics and then we can talk about who are the players who are the, I want to say vigilantes, but are driving the bus. So there is no exchange.

for treasuries. Then we do have the futures exchange for futures, but the rest of the cash market is over the counters driven by a set of primary government security dealers. These are dealers that have responsibility and are managed by the Fed. In fact, probably one of the research that I was working on back in the 80s was how does the Fed survey or how is there surveillance of the risk of the primary government securities is done, and how do they choose who is a primary government security dealer? So these are designated individuals that make markets. They're also serving as a conduit for treasury auctions. The system has worked pretty well, albeit it's somewhat opaque. But as the market has gotten larger and larger, the amount of capital that's available for primary dealers relative to the size of treasury and the size of treasury volume is out of proportion to what we might think. And part of this is that because of regulations from the Fed, such as the supplemental liquidity ratios, is that there may not be enough capital at primary government security dealers for them to do their job to make markets. Now this starts to get back to with this treasury buyback program. If they can't make markets because they can't in a serve as a financial intermediary, so there's someone who wants to sell treasuries, but there may not be a buyer to match that sale, then you say the dealer will make a market.

you know, they'll quote a bid-ask spread. They'll then take it onto their balance sheet and then they'll try to find another buyer for that bond. So what happens if, let's say, there's less liquid treasuries? Well, then you're going to either have to increase your bid-ask spread because it's going to be harder to find that buyer. and you're going to have to hold that on your balance sheet longer, which means you're going to have to finance that. And

you may not have the capital to do that. Now, if that's the case, they say, like, well, we want to sort of like improve the liquidity for the off the run so we could help dealers because they don't have enough capital to do their job as market makers in the treasury market.

And I ask out of ignorance here, but since you're in the US, you may know the basis trade that we here talked about in the news flow. Is that part of the problem slash solution? Meaning, for example, well, I don't know. I mean, if banks can't provide the balance sheet and the regulars don't want hedge funds, providing it, where are we left? Well, you've now sort of touched on who are the vigilantes or who are the marginal buyers and sellers in the treasury market. So we'll sort of say in the old days, we had the primary government security dealers and then you had mutual funds, we'll say, unlevered buyers of the treasury market. So, you know, fidelity or, you know, a large, you know, mutual fund would say, I want to buy treasuries. They, you know, call up their, you know, the dealer, dealer would make markets. And so those bond funds were not levered funds. Okay. Now we probably sort of say that you look at the amount of holdings or treasuries right now in In the US, hedge funds are the people who are holding some of the biggest holders. They may be larger than mutual funds in terms of their holdings of treasuries. We're looking at 9% plus of the total of, you know, tradeable marketable treasury bonds. So what you find out is now the vigilantes are the hedge funds.

But there are different type of vigilante because instead of being, we'll call it real money accounts, they're levered accounts. And also to say that they've done some studies, this is coming from the Fed, of what is the breakdown of the type of trades that are being done by hedge funds these days. And the number one trade. is the basis trade. So the basis trade between the futures and cash, and you're looking at the differential between what we'll call the cheapest to deliver in the futures market. So the futures market we'll probably say is the single largest source of liquidity, but that's going to be benchmarked against what is called the cheapest to deliver. And so to keep the price of the Treasury futures in line with the cash is that there are people who engage in the basis trade between cash and futures. So if you're trading in the futures market, you're probably trading against

someone who's doing a basis trade because they're looking at the differential between the futures price and the cash price.

How what you do in the futures gets distributed in the cash market is through the hedge funds who are basis trading If let's say that there is you know more Treasury bonds outstanding for for different prices well, then there's a likelihood that in this not often, likelihood there are going to be switches in the cheapest to deliver. So then that means is that there's more opportunities for basis trading profits, but also for risk. So now, if you're a hedge fund, then you're trading in the basis, you're trading in a treasury market, you'd say like, well, okay, these hedge funds are fairly large. Well, The actual amount of cash that they have on their balance sheet will say that capital is relatively small. So they're leveraging up through the repo market. So they're financing all of these trades, these basis trades.

tremendous amount of financing going on, a tremendous amount of leverage because the basis trades is that you're looking at just a few tick market that you're trying to make at because the market is fairly liquid. So that means the only way you're going to make any money at the basis trade is that you've got to use a tremendous amount of leverage on what you think is a fairly low risk, low return trade. that you lever up like crazy. So now you then say, this is it, holy smoke. If all of these hedge funds who are sort of the marginal buyer of treasuries on the long end, there's the providers of liquidity through basis trading. They're the ones who are sort of driving the market more so than real money accounts.

And they're all highly levered and they're all sort of financing in the repo market. Well, then you got to sort of say, whatever happens to the repo market is going to spill over to the bond market in ways that we're not really sure of. Yeah. When you talk about it like that, it certainly reminds me about the Swiss franc Euro trade that lots of people loved and felt certain about until the day where Swiss franc was let free, so to speak. This whole issue of repo financing has a tremendous impact because we've had, again, this is research that I was doing in the 80s, we had not primary, but we had secondary dealers and treasuries that were...

highly financed that went under in the 80s. And so this is why we then started to do research on the primary government security dealers because

they're like, well, what's the risk that they might face? So you'd sort of say that, well, that has an impact, especially if, you know, if let's say that the Fed wants to sort of cut its balance sheet, okay, then that's going to have an impact on or repo financing, or even if they raise rates in the short end, it's going to have a tremendous impact on repo financing. It's sort of saying that, well, what might happen in the short end of the market for overnight funds might have tremendous reverberations into the rest of the market. Then finally, when you look at the over-the-counter market, Treasuries visit the primary dealers while they're one source and they were usually been the drivers of of Market making we have like the HFT the high frequency traders like at the Citadel and other places that are active in the Treasury market So but they're all electronic trading. They're not reporting to the Fed they don't have specific market making responsibilities. So they could be able to be very active. But if they say like, yeah, I don't think this is a really good time to be involved in treasuries, they could just turn off the computer and that'll have an impact on the rest of the market. And so the reason why they were so worried about this is that when you look at March of 2020, there was a shortage of liquidity in the market. So we expected that treasuries would act as a safe asset and it didn't act like the safe asset. And so this gets to another issue, which is probably we can start in a whole different podcast is that is the treasury, which has always traditionally been the safe asset, is it still the safe asset?

Safety is because you're going to get paid, but safety is also the fact that when I want to sell an instrument, I'm going to get the fair price for that instrument. And if let's say that I have to pay or if the price is going to be discounted when I need liquidity, then I'm going to say like, well, that's not as safe as what I thought. Maybe I should sort of avoid that market. Yeah, and I think you bring up a good point. It's definitely too long to go into this time But I you know for a number of years not often but from time to time I bring up this issue that I think is what's kind of going on and has been going on for a few years and it's probably a cycle by the way and and that is this thing about trust and maybe the easiest way for us to to see that is kind of, you know, the institutions we tend to trust. Well, that changes. We don't maybe at the moment there are certain institutions we don't trust anymore. As much as we used to do and so on and so forth. And I think certainly in

the financial markets, I think, once you lose the trust of the market, then all hell breaks loose. And although I worry that we could.

get to that point in some markets. We're obviously not there right now, but I think that's something to watch. Now I want to switch gear because we got a long list of items which we probably won't get to all of them. So we have the luxury of picking and choosing. One of the things just to remind you was that there's some macro themes, there's something about commodities which we've touched a little bit on. China is the swing consumer and so on and so forth. So where do you want to go next in the last sort of 15, 20 minutes that we have together today? I want to talk about two things. One is the piece of research that I found very interesting, which is associate trend following because oftentimes we talk about trend following on the podcast. As long as it doesn't involve any trick questions for me, Mark, then we're fine. No trick questions. I want to talk about someone who died in the last month that I think that a lot of people may not remember or may never know that person. I'd like to sort of say that as a tribute to him, I like to end with talking about a person that was influential in my life in terms of reading his research and that's Victor Niederhoff. Before we get to that, is there something else? Yeah, okay.

One of the more interesting pieces of research is this is that where they looked at there's the new version of the art of trend following Paper that's it's been kicking around for a number of years, and I think that it's always one that I think you know anyone who listens the podcast should Read albeit there's a lot of mathematics to this is that what's the name of the paper you're referring to it's it's the it's the art and science of trend following. It's by Arthur Sepp. He's at LGT. He said, well, let's look at classifying different trend followers. He said that there are three classifications. We'll call it the European American and we'll call it classic. So what I call the academic, which would be time series momentum type. Now, he defines European as those people who look for high signal to noise trades and look at constant adjustments in their positioning. We'll call it, I call these Europeans the pragmatists.

When you say constant adjustment, it's kind of dynamic adjustments, right? So it's not keeping you constant. There's a constant adjustment or dynamic

adjustment to position sizes. Then there's the American, which we'll call it the breakout trend followers with, we'll call it digital positioning, which means is that you look for a breakout, you take your position and then you put your full position on and you hold. you don't do the, you know, sort of, we'll call it dynamic adjustments. And then- Yeah, maybe to clarify here, Mark, if sorry to interrupt you, but just maybe to clarify, because I think it's doing a little bit of this service to the listener. If people get the impression that that's how American managers do it today, I think there is a few people who do it continuously for sure still.

But it's probably more where the industry got started, right? That's kind of how we started out where we didn't have all the tools to do dynamic position sizing. So we would size at the time, the time of entry. As I mentioned, there are still firms that does this today and there's nothing wrong with that. But then I think also there's a lot of firms based in the US today that uses dynamic position sizing, including the firm I work for. That's why I want to mention it, so to speak. And when he uses these terms, European and American, it probably is work, yes, classic historically. And now the important part from a due diligence perspective or someone who's a listener is to say, like, if you start this as a baseline, then the question that comes in is, how do you differentiate one manager from another? So you could have a...

the classic American would be breakout with, which we'll call digital positions. But then you say like, oh, but someone else might say, yes, I do breakouts, but then I dynamically adjust it. So I'm a hybrid European American. So, or I use both models at the same time. And I sort of correlate between the two. And then the third, which we call time series momentum, which is that I look at classic momentum across time and then just scale between high positive returns to negative returns and then do the adjustment. Now, the important part is that there are... They actually are fairly similar in terms of their sharp ratios, their drawdowns, there may be differences between each one of these. They all do very well during periods when there's a lot of trends. And so what happens is that the one takeaway you could sort of say like, well, you need to have trend followers no matter what style you have. And if there's a big move, it doesn't matter, you'll do well.

But second is that you'd sort of say like well, there are nuances between the two and that might affect when you're going to do better or worse And so you need to at least understand or appreciate the difference and I think that when they talk about trend following this is that they sometimes people lump it all together. And yet you can say you can actually differentiate further based on some of the characteristics of position sizing and how you take signals and looking at signal noise ratio. The funny part is Mark that I completely agree with everything you've just said. But I also think about this idea of, well, it's good to know what kind of manager you are.

So that makes it easier maybe to understand when you should be doing well and when maybe you should be doing less well so to speak. But the thing is I don't know that necessarily picking one over the other. If you know as an investor makes a lot of sense because we simply don't know the future right. So I think this is an interesting debate when I get asked and that happens on a frequent basis about. How do you construct a portfolio of managers? I usually say that it's probably a good idea to start by looking at people with structural difference. Now, this could be one structural difference, right? It could also be the number of markets they trade, the speed they trade at, for example, things like that. But it is interesting that we love these classifications. Oh, are you an American style classic? Are you time series momentum, whatever? But at the end of the day, we're all just you know, looking at something where we don't know what the future path will look like for the market. And therefore we don't really know which one we should pick. No, that's fair. And if anything, what it tells you is this is that while they're similar, you may want to choose a portfolio that has more than one trend follower and have a little bit of different style. And they say like, in whatever style you'll have in the extreme move or the real positive years, you'll all do well. But it also tells you is that you should diversify across some trend followers, but you don't have to have a portfolio of 10 different styles. So you don't have to have a large portfolio of them. There's an optimal number and people have studied that.

And I think that is so we'll sort of say relative to some other hedge fund style the number of trend followers you need to be able to Replicate a benchmark or replicate is probably less than for some other hedge fund styles Yeah, now I completely agree with that. I just want to intersect one

one thing and that is I Don't know how widely this is but it's something I've seen on on our side and that is this kind of process of evolving from being maybe wedded to one style. To actually increasing the styles on the methodologies you have in your program. And I think that makes a lot of sense actually that not you don't necessarily have to go and find four different. You know one times is momentum manager one moving average crossover manager one price break I mean.

I think there is some mileage in when managers, and of course you have to find really good models within each category for sure. But where managers start to blend different types of trend following as long as it's quote unquote pure trend, so you're not deviating from that. But I think there is some mileage in diversifying these kind of methodology within your overall program. And now that we're talking about something I haven't really thought about before, but it strikes me that managers can probably be a little bit conservative in the sense that if they started out doing one style of trend following, I kind of stay with that forever, which I know that's probably being very human about it because we don't like to change as such. But I think that actually could be one.

kind of way we see trend following evolve is that people find it's certainly something we've done on our side, where we find really good ways of doing trend, but they are not necessarily how we started out doing trend. And if you blend them together, you get perhaps a stronger overall package. Well, we put this way is this is that we've argued that, okay, if you have a single trend follower style that maybe that you need to diversify across other firms. But then the firm itself could be able to do that. And we'll call that this is that we'll call it the, I'll create a new word, the potification of trend following. So we know that multi strats is they're looking for a combination of pods to give you a smoother return profile. And then of course you got to deal with each one of the pods and the personalities and such. So the nice part about it is that, you know, the advancing hedge trend following style would be to say, I run different trend following models almost as if they're different pods.

And then what I could do is I can blend those together. And so what I can do before I execute, I could be able to say I have pod one, which is the

American style. I have pod two. That's the European style pod three. That's time series momentum. Then when I, you know, I can run those all, you know, separately. Then when I want to issue. signals into the marketplace and trades, I could aggregate those so that then there's just one cent. I cut my transactions cost, but I still be able to track each one of my trend pods separately internally. And I know exactly which model is doing better or worse. Exactly. So I think that's one very important part, even though transaction costs generally at least in my view, is not the biggest hurdle we face in the long-term trend following trading on exchange futures only. But there is one other big advantage compared to going out finding three or four or five different managers. And that is you get netting of the performance fee because it shows up as just one return stream.

as one product return. And I think that is actually is not insignificant. And that is a really great advantage, by the way. So, yeah, no, for sure. Anyway, I'm not entirely sure where we're going to go with this, but... The only thing you need to do is that you have to figure out how to employ a pass-through model so you could pass through all of your costs to the investors instead of the straight management. Right. Yeah. No, no. Absolutely. I'm going to save my comments about what I wanted to say. There's been some interesting research on short-term trend following trades. And I'll give a sort of like a little teaser. And the research has said this is that, well, what we found is, or what the market has found is that short-term trend following just doesn't really work that well.

So what these researchers did is very interesting is that they said, well, what's the cause for that? And the cause that they find is that it has to do with actually the tick size. This is that when tick size are very small, so that then you could have more high frequency market makers in the market. Okay, well then they could be able to pull and add orders very quickly which actually can offset the gains that you're trying to make in short-term trend following. And that if you look at futures contracts that have large tick size, you can still make money from short-term trend following. Those that have very tight or small tick size, it is very hard to make profits in those markets, which is very interesting. And we're talking about volatilist tick size, right? It's the volatilist tick size. It's not the tick size itself as far as I

recall. I'm just using a tick size as a generic. There's things you have to do to sort of make this all work in terms of, but it's very interesting.

We'll say that the one thing that we constantly sort of, I spend more of my time on is not so much, there's the modeling, but then there we'll call it understanding the plumbing of how markets operate and plumbing does matter. tick size matters. Who are the players in the market and treasuries matters? Who's getting financing? This all matters. So the plumbing matters in terms of all of this stuff. No, it really does. It really does. It's not so much just about whether you're using 100-day breakout or 50-day breakout. I completely agree. It's even down to the data, what you do with the data and all of that stuff. So I completely agree. I know we're going to move on to Victor Niederhofer, but Before we do that, I just want to maybe leave the audience with the sense that I'm not so sure personally that it makes even sense to talk about short term and trend following in the same sentence. And because I really don't think it's it is quite the same. And I don't know many firms that really employ trend following techniques, you know, truly.

In the trend in the short term space it's more like a ball break out and then they get out at you know with completely different. Rules not from a reversal of price and so on and so forth so I'm a little bit on the on on you know cautious about calling it short I mean I know it's been called short term trend following but I'm not even sure and we're not even capturing the same things probably so it's a little bit of a. Confusing thing for me anyways. I'd love to hear what your thoughts are on Victor Neeterhofer. As some people may know, we've had his younger brother Roy on the podcast a couple of times. I've never spoken to Victor Neeterhofer. I've only heard anecdotes, but I know you followed him much more closely, so I'd love to hear your thoughts. Well, I like to say that...

He was actually one of a quants-quant and probably one of the earliest true, you know, quant traders that we had in the hedge fund space. And he's probably, he's done some very significant research, which I'll talk about in just a second. He probably wrote the book, The Education of a Speculator. you know, a lot of traders have written books. This is probably one of the better books in from a trader explaining what they do and how they view the market. And he viewed it more as an evolutionary biology sense, an

ecosystem. So it's not so much markets are efficient, but you have to look at what the ecosystem of markets and how they behave, which we call the plumbing now, but he would call it the ecosystem.

He also wrote the daily speculator blog. A lot of other people have written or been guest writers for that. It's still out there, but not very active. And I think for a lot of people, 15, 20 years ago, this would be one of the go-to places to talk to. So he was a very powerful researcher. I think that he had some great pieces of research that were path breaking at the time. And some of them were coming out in the 60s. He was not an academic, he was more of a trader. So this is unusual that he had the academic chops, but at the same time he was a trader. So he was one of the first people to come up with the headline over reaction anomaly.

He did some pathbreaking work on stock price clustering, which we call the round number effect. He did some extremely good research in short-term mean reversion after large moves. He did some of the first insider trading anomaly research by just following what executive behavior did. So if executives are buying their stock or selling your stock, that's telling you something about what they think about the underlying company. But he probably has noted this is when I say he was a quant's quant, he always sort of had the view is that if you cannot count it, you do not know it. So he sort of rejected unverified financial advice, intuition, or media speculation in favor. He was a strict empirical data person. So he said, like, if you say something, prove it with the numbers. And when you think about that is that that should be the mantra of everybody who's a quant or trend follower. His also view is that, you know, Test everything you run vigorous statistical back test and historic price vape behavior look for anomalies and and you're only as good as the quality of your testing and He was embraced mean reversion and patterns now The same time is is it that he was well known for you know as blow-ups after you know in you know in the you know, late 90s sort of made a second comeback. He's not the first person that we've seen who have made, you know, fortunes in trading, lost it and came back. So, and it was because he always had an inquisitive mind to say, okay, how do I get better? How do I admit that I'm wrong? And how do I then be able to sort of say, improve my process? So he's probably also best known as is it for those who is sort of like a is ongoing battles with Nassim Talab.

So we'll sort of say that if Victor Niederhofer was the true empiricist, let's say Nassim Talab was the skeptic. So you had the Quant's Quant who said, like, let's just look at the data and follow the numbers versus the skeptic who said that, you know, Mystery and statistical data could be misleading. So he represents an extreme view, but for many of the quants today, he should be sort of an example of someone you should emulate, an example of someone who followed a philosophy and stayed true to his philosophy and lived and died by the numbers. But I think that it's something, as I saw, saw the obituary. I was moved because here's someone that was influential in how I thought. And I think that many people have forgotten him or don't remember him. And I sort of say, I'd like to end the podcast and say, you know, remember Victor Niederhoff and go out and get his book, The Education of a Speculator. And I think that you'll be rewarded for reading a piece that is been somewhat forgotten, but was it important for many quants 20, 30 years ago? Yeah. As I mentioned, it's not someone that I follow. Specifically, I have been aware of him. I've seen the headlines, usually the not so positive headlines with these blow-ups, but there is something that is also very important and that is that a lot of very interesting people and very successful people came from his firm.

People like Tobi Krabel we recently featured. I believe also Monroe Trout which super secretive, but someone who became a highly, highly successful quantitative manager for sure. And others. So a long list of very, very, very interesting people came or was influenced by Victor Niederhofer, including your good self mark. Anything else you want to bring up before we bring it to a close for this week? No, we've had an exhaustive hour here. We've covered a lot of topics. Hopefully we'll sort of say that, as we said, we've got our rumblings of thunder clouds in, you know, I'm not sure what I'm scheduled next, but I'm sure that I think that we might have more than rumblings from the next time I'm on this podcast.

Yeah, yeah, you could be right. Yeah, it'll be a couple of months and then we'll see what the world looks like for sure. Let's leave it there for this time. Mark, thanks so much for your prep and for coming on. I will suggest, of course, as I always do, that people listening should go and show their appreciation for Mark and all your other co-hosts by going to your favorite podcast player. leave a rating and review. Of course there's an extra

incentive at the moment to leave a rating and review and that is the competition we have running for another couple of weeks until the end of August, where I mentioned on the episode a couple of weeks ago with Dave Dredge and Rich that I will put up one of these very nice, when I have to say so myself, TTU vests that I'm actually wearing today. I did remember to wear it today. It's not so hot where I am today.

Anyways, that is up for grabs for the best review. And of course, in order for me to notice the review, to be sure, please send an email to me telling me what you wrote, where you wrote it, when you wrote it, and I will bring it into the competition. We have some really good ones so far. But I'm sure there are some people who can maybe still find time to do so. So anyway, it's out there. Also, Next week, I'll be joined by Alan. So if you have any questions for Alan or me, you can email them as usual to info at toptradersonplog.com. By the way, that's the same email you should send your review to. And we'll do our best to bring up your topics if there is any questions or something you want us to discuss. You can of course always go to the Top Traders Unplog website to follow along on the trend barometer.

and all the other things that we got going on that, including the weekly trend following report that Rich and I do and lots of other resources from Mark and me. Thanks ever so much for listening. We look forward to being back with you next week and as usual, and as always, take care of yourself and take care of each other. Thanks for listening to Top Traders Unplugged. If you feel you learned something of value from today's episode, the best way to stay updated is to go on over to your favorite podcast platform and follow the show so that you'll be sure to get all the new episodes as they're released. We have some amazing guests lined up for you, and to ensure our show continues to grow, please leave us an honest rating and review. It only takes a minute, and it's the best way to show us you love the podcast. We'll see you next time on Top Traders Unplugged.

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